Cloud Service Management Approach

13 Feb 2026

Microsoft

Session Agenda

1. Service Management Modernisation Introduction

- Key business and operational drivers Why modernisation is needed
- Overview of Cloud Service Management Principles

2. Key Process Recommendations from the Service Management Framework

- Change, incident, request, management evolution
- Policy, compliance, and lifecycle management updates
- Financial management alignment with FinOps

3. Impact on Organisation & Ways of Working

- Required mindset and cultural shifts
- Automation, and process simplification (just enough)

Business demands …

Innovation

More innovation quicker

Costs

Take advantage
of (public) cloud scale
and economics

Agility

Business agility
and flexibility

Repeatability

Predictability

Availability

Fast & predictable
response to change, and
zero downtime

Impact on IT organization

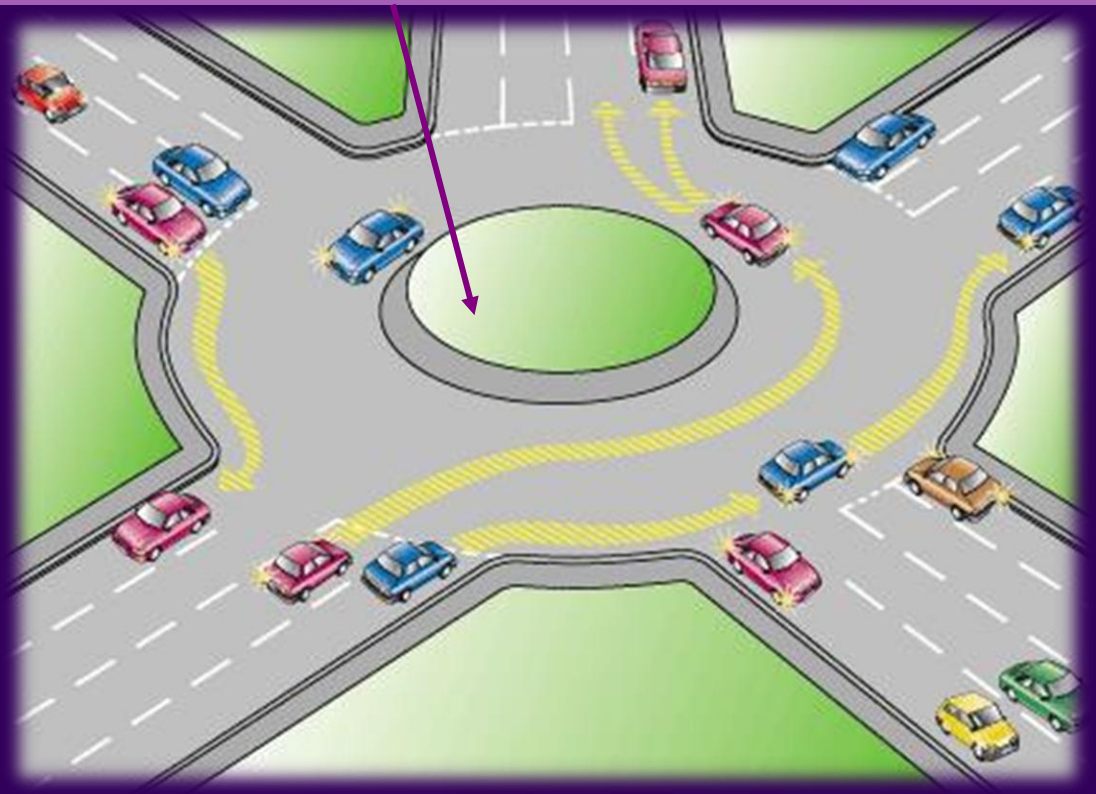
Governance of defined *manual* processes (Traditional)

Governance on fully *automated* processes (Cloud)

Enforce/Control

Controlled & central responsibility

Enable/Support



Freedom & delegated responsibility

Cloud Service Management

A **lens**, intended **to focus ITSM** experts around the globe **on** the most important **outcomes that evolve our customers** from legacy, traditional IT models **toward easier**, **more efficient**, **cost effective** and **agile service structures**

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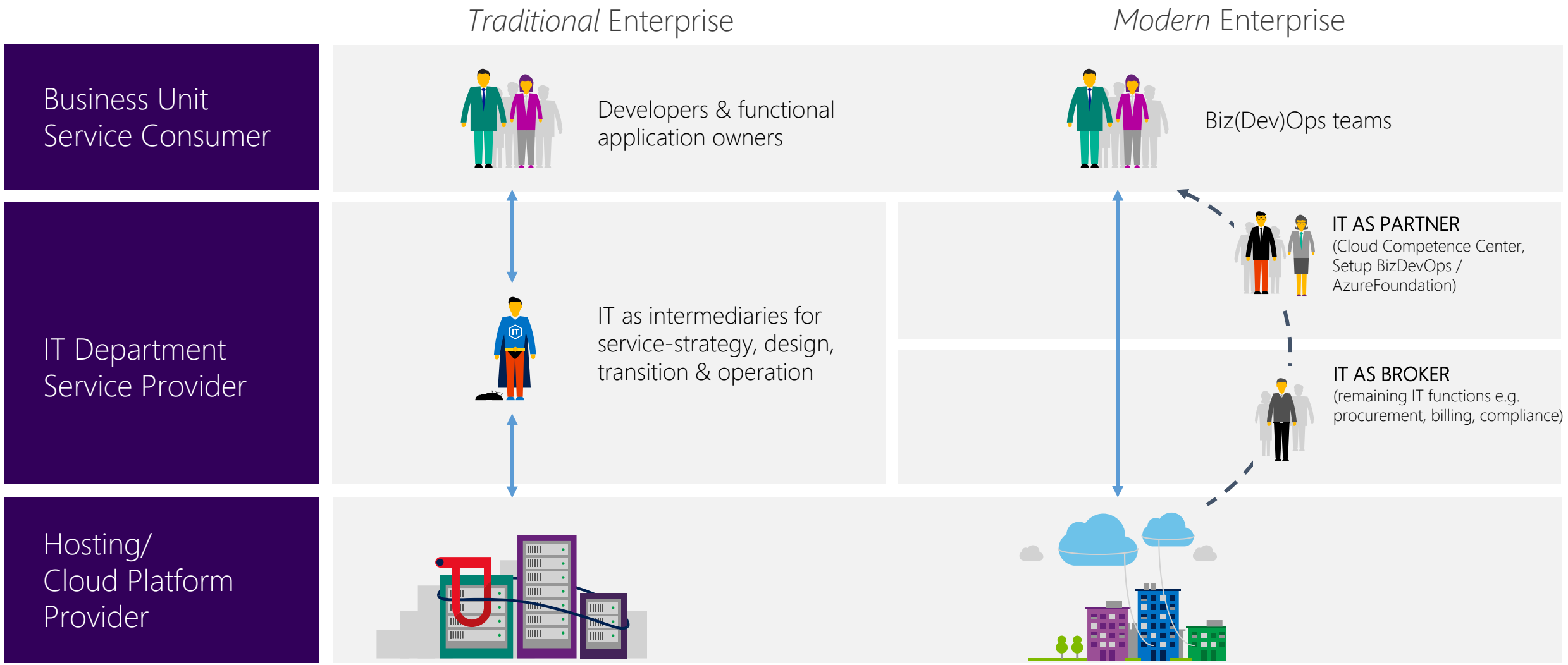
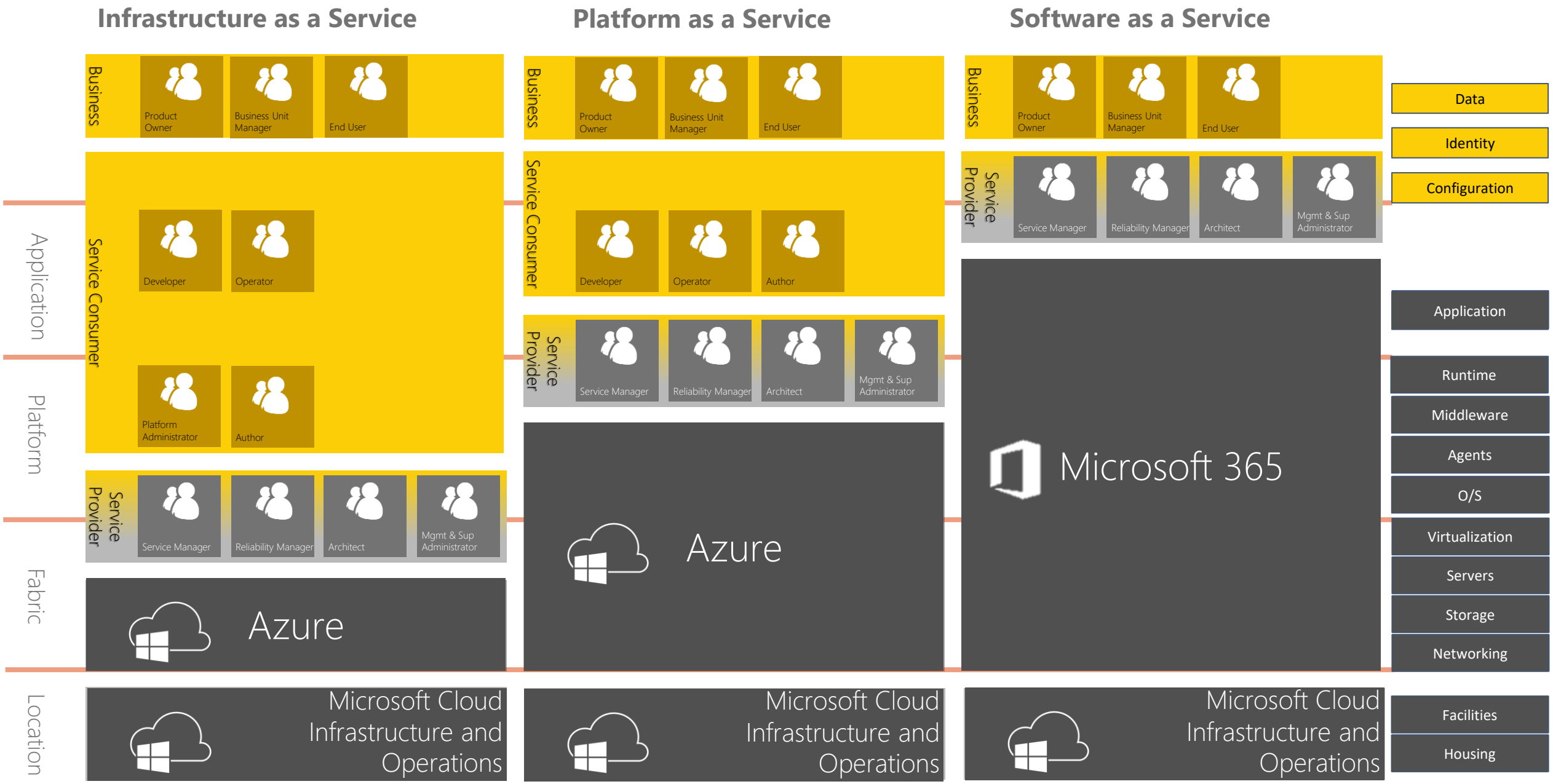
Service Management Paradigm Shift

	Traditional IT	Modern IT
DNA	Intermediation	Disintermediation
Service Delivery	Wave Based	Continuous-Iteration Based
Service Stability	Design for Success (HA/Redundant)	Design for Failure (Resilient)
Delegation Levels	IT Silos	End-to-End Services
Processes	In Documents, Optimized, Redesigned	Self Service, Knowledge, Low Friction, Automated
Automation	Isolated, Manually Initiated	Systemic, Triggered, Automatic
Monitoring	Element, Fault Focused	Service, End-to-End-Capability Focused
Support	Service Desk / Contact Center	Customer Care / Self Service
Lifecycle	*N*-1 or Older	*N*, *N*+1
Configuration / Asset Management	Discovered / Manual Configuration	Prescribed, Declarative, Automated

Cloud Service Management applied to IT's position



"the value of the IT department shifts from what they build, own and run, to what they enable others to do autonomously"



* Diagram constructed by Microsoft (Authors: Niels Nijweide & Paul Fijnvandraat)

Cloud Service Management Principles

Key Principles

Manage end to end services

Manual efforts are bugs

Service and Capability Monitoring over Fault Monitoring

Self Service and Automation

Manage End to End Services

Services and service dependencies are known and managed end to end across silos and technologies

Rationale: When services are managed across the organization, the IT portfolio is simplified, IT headcount can be reduced, and savings are realized. From a business perspective, services are delivered faster, improved business decision making can take place, and a higher level of value is attributed to the service.

Implications:

- *Services are known and leveraged for all decision making*
- *Service Maps are defined for key services and services maps exist as a blue print for the service identifying not only dependencies but accountabilities*
- *Services are co-owned by representatives from IT and Consumers of the service (business)*

Manual Efforts are Bugs

Automation is system in service delivery versus isolated in pockets

Rationale: Automation increases quality, reduces lead and processing time, and increases measurement and analysis.

Implications:

- *Automation is backdropped by Human Effort vs. Human Effort being backdropped by automation.*
- *Automation technology is implemented that traverses technology domains and supports a DevOps Toolchain*
- *Analysis is constantly performed to identify and prioritize automation workloads for updated automation and improvement to existing automation*
- *Automation has roles assigned to it*

Service and Capability Monitoring over Fault Monitoring

Monitoring begins with end to end services

Rationale: Proper Monitoring results in reduced and eliminated detection of service issues before customers detect and call service desk. End to end monitoring should reduce time to detect, time to identify and time to communicate.

Implications:

- *Monitoring systems codify the service and recognizes the service dependencies*
- *Monitoring targets and logic are defined by service and applications owners.*
- *Monitoring service is centrally managed and provides monitoring as a service based on targets and logic defined in #2*
- *Fault and device monitoring underpin service monitoring*
- *Service Monitoring alerts are managed centrally in an event management Solution (not just moved to Incident Management)*

Self Service and Automation

There is a single interface for demand intake which drives automation for backend tasks

Rationale: When the primary interface to IT services is through a portal, there is reduced need for human beings on phones, data quality is improved and service "click through" metrics can be leveraged to support service approach.

Implications:

- *Portal is provided to all known consumers of services provided by an organization (subscription model)*
- *Requests are defined and structured with appropriate data elements, questions and responses from a customer*
- *Requests from portal do not generate Incidents (support requests or cases, service provider decides if it is an incident)*
- *All requests go through a customer self-service portal*
- *Requests are automated unless manual effort/approval is required*

Cloud Service Management Applied to Service Operations Processes

Applied to Service Desk

ITIL: Handle service requests

Traditional Enterprise

Business Unit Service Consumer

DEVELOPERS & FUNCTIONAL APPLICATION OWNERS

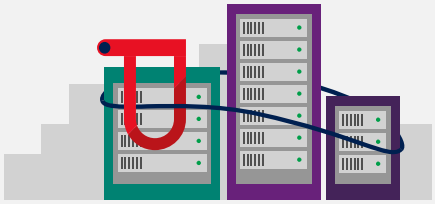
IT Department

"Ticket" logging, resolution, fulfillment closure and evaluation

Human effort backdropped with automation

Case Routing

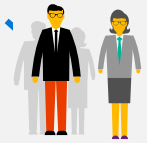
Hosting / Cloud Provider



Modern Enterprise

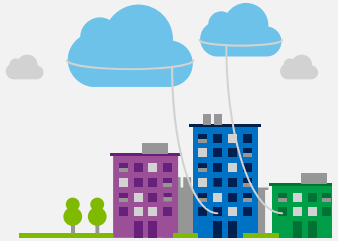
Self Service with Automated execution
Leverage telemetry and knowledge for support and troubleshooting

BIZDEVOPS TEAMS



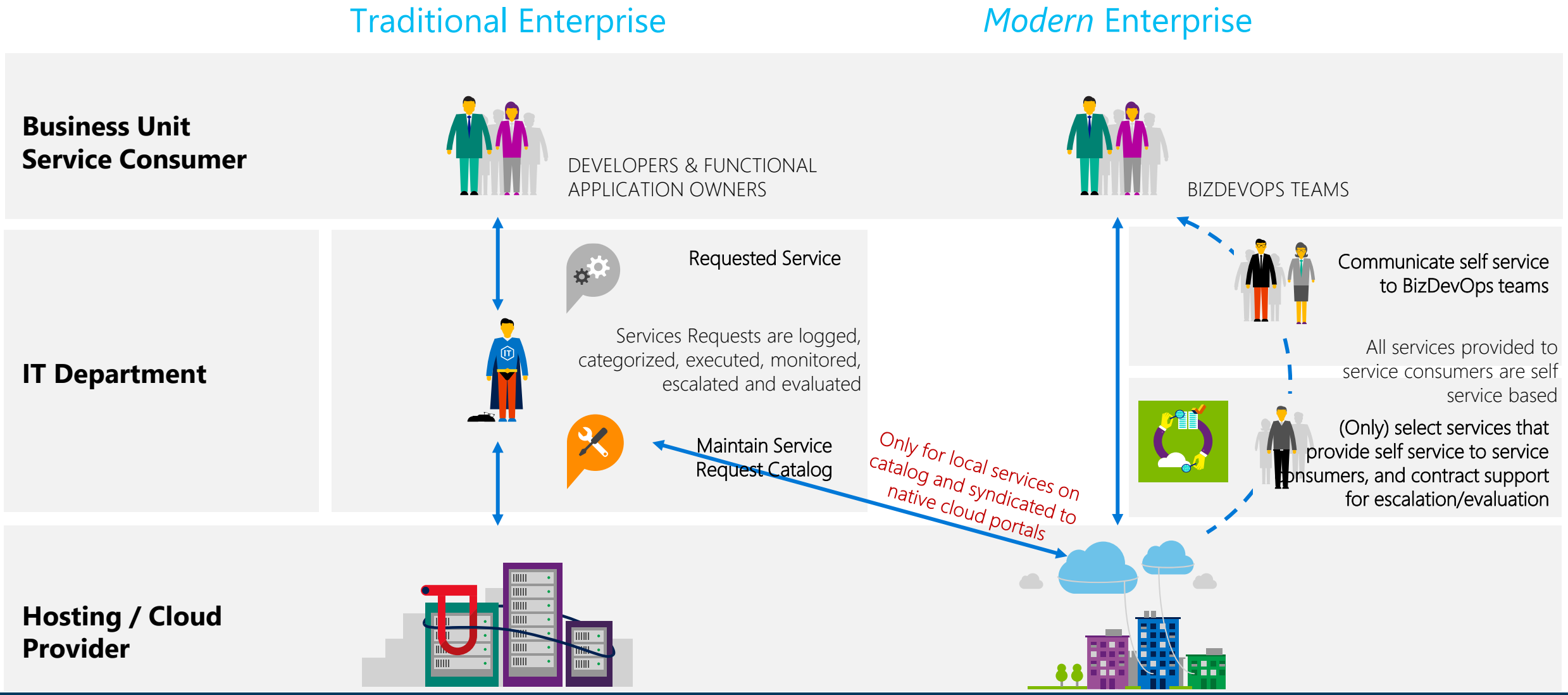
Drive self-support and help

Arrange (include in contract) cloud service provider support



Applied to Service Request Fulfillment (not related to incidents)

ITIL: Maintain information about Configuration Items and maintain a logical model, containing the components of the IT infrastructure (CIs) and their associations required to deliver IT services.



Applied to Service Asset & Configuration Management

ITIL: Maintain information about Configuration Items and maintain a logical model, containing the components of the IT infrastructure (CIs) and their associations required to deliver IT services.

Traditional Enterprise

Modern Enterprise

Business Unit Service Consumer

DEVELOPERS & FUNCTIONAL APPLICATION OWNERS

BIZDEVOPS TEAMS

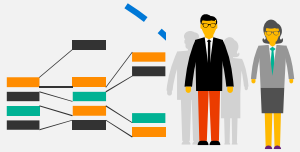
Only build solutions that use cradle to cradle automated lifecycle

IT Department

Configuration Item (CI) information (types, sub-components and interrelationships)

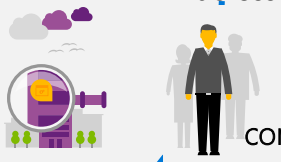
Maintain information about configuration items required to deliver IT services.

Maintain Configuration Management Database



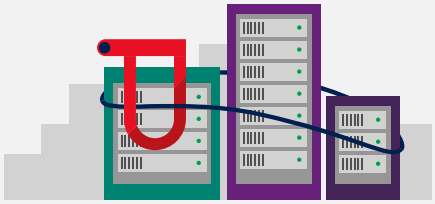
Published Compliant Deployment Patterns & Templates

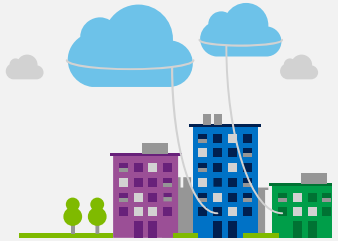
(Declarative) CI's maintained in Release Management Software across all stages and environments



(Only) select services that provide self maintained configuration item information

Hosting / Cloud Provider





Applied to Change Management

ITIL: Assess, prioritize and schedule changes with minimum disruption to IT services.

Traditional Enterprise

Modern Enterprise

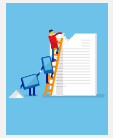
Business Unit Service Consumer

DEVELOPERS & FUNCTIONAL APPLICATION OWNERS

BIZDEVOPS TEAMS

- Absorb Evegreen Service Changes

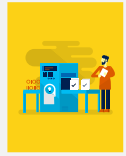
IT Department

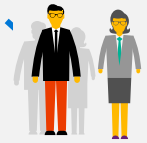


Change proposal, implementation review (close)

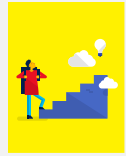
Assess, log, review, create planning, authorize build phase, assess built and tests, authorize deployment, review and close

Deploy Solution



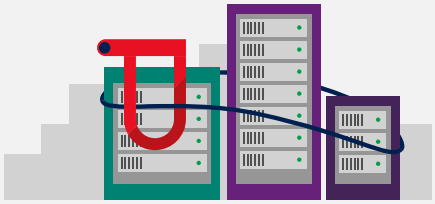


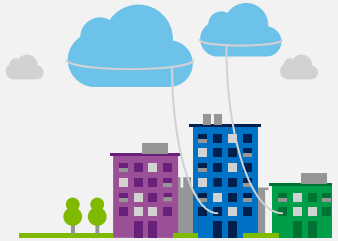
- Track & Reveiw Service Roadmaps, Changes & Previews



Subscribe to supplier NDA, Service Roadmap, Service Changes and Service previews.

Hosting / Cloud Provider





Cloud Service Management Applied to Service Delivery Processes

Applied to Policy & Compliance Management

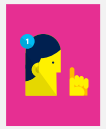
ITIL: Ensure IT services, processes and systems comply with enterprise policies and legal requirements, maintain enterprise policy

Traditional Enterprise

Business Unit Service Consumer

DEVELOPERS & FUNCTIONAL APPLICATION OWNERS

IT Department

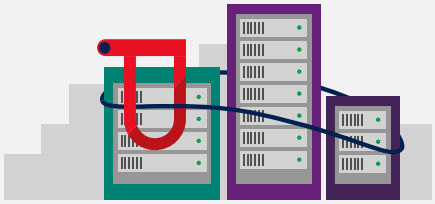


Compliance Requirements

Solutions are verified against compliance requirements @ time of design and once implemented

Manage compliance

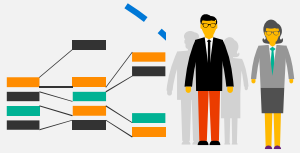
Hosting / Cloud Provider



Modern Enterprise

Create solutions that use compliant deployment patterns & templates

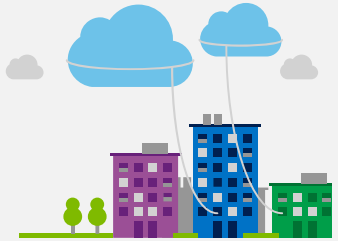
BIZDEVOPS TEAMS



Published Compliant Deployment Patterns & Templates

Manage industry standard compliant deployment patterns & templates

Obtain external audit statement using Cloud Service Provider Industry Standard Compliant Audit reports



Applied to Financial Management

ITIL: Manage budgeting, accounting and charging requirements.

Traditional Enterprise

Business Unit Service Consumer

DEVELOPERS & FUNCTIONAL APPLICATION OWNERS

IT Department

Cross charge Invoices, IT budget usage and Financial Management Reporting

Ensure the most economical usage of financial resources (CapEx)

Monitor actual IT budget usage

Hosting / Cloud Provider

Modern Enterprise

BIZDEVOPS & FINOPS TEAMS

FinOps CERTIFIED Platform

Create, maintain and publish financial models / calculators

Business processes supported by on-demand (composite) services, cap usage (optionally). (OpEx)

Market Price Comparisson

Applied Continuity Management

ITIL: Manage risks that could seriously impact IT services and provide minimum agreed Service Levels, by reducing the risk from disaster events to an acceptable level and plan for the recovery of IT services

Traditional Enterprise

Modern Enterprise

Business Unit Service Consumer

DEVELOPERS & FUNCTIONAL APPLICATION OWNERS

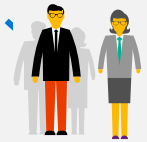
BIZDEVOPS TEAMS

IT Department

Agreed service levels

Manage continuity using reduction measures and recovery plans based on agreed service levels

Manage continuitity

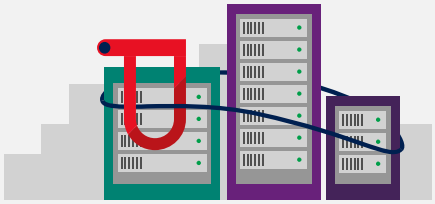


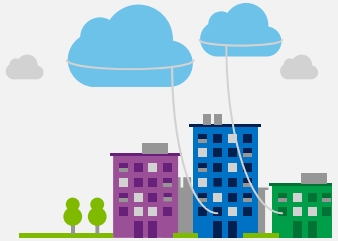
Deployment Patterns

Service continuity accomplished thru resiliency and advised deployment patterns

Cloud Services Knowledge

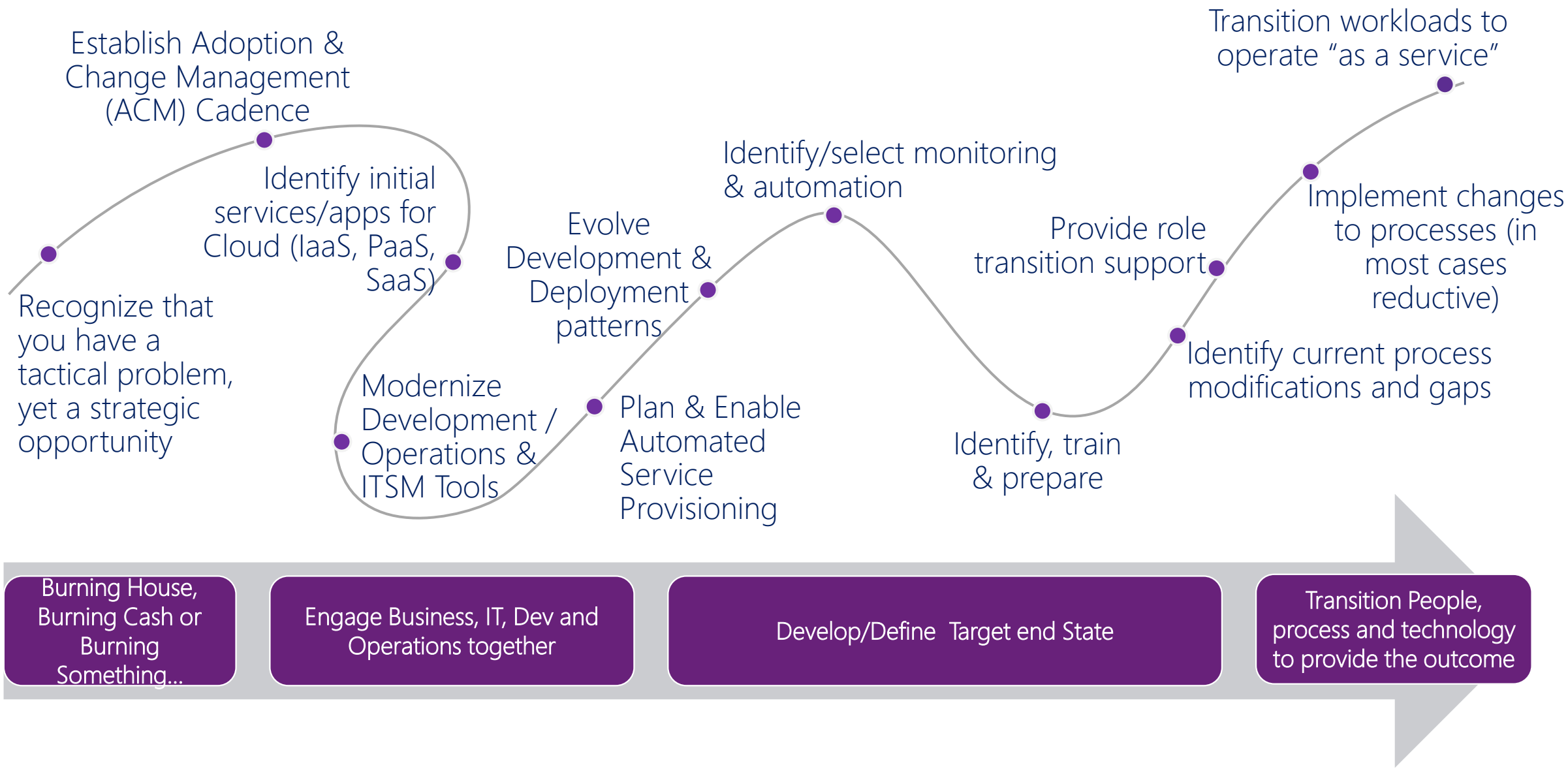
Hosting / Cloud Provider





Summary

Service Management Journey Map



How to make Service Management Modern

Start with people – process is a natural outcome

Just enough process, design/implement happens in parallel

Focused on automation, standardization

Focus on outcomes, *not methods*

Processes are not the final goal, they are a result of the work we do with Customers

Processes should be natural and simple, to be accepted

Questions & Comments

THANK YOU

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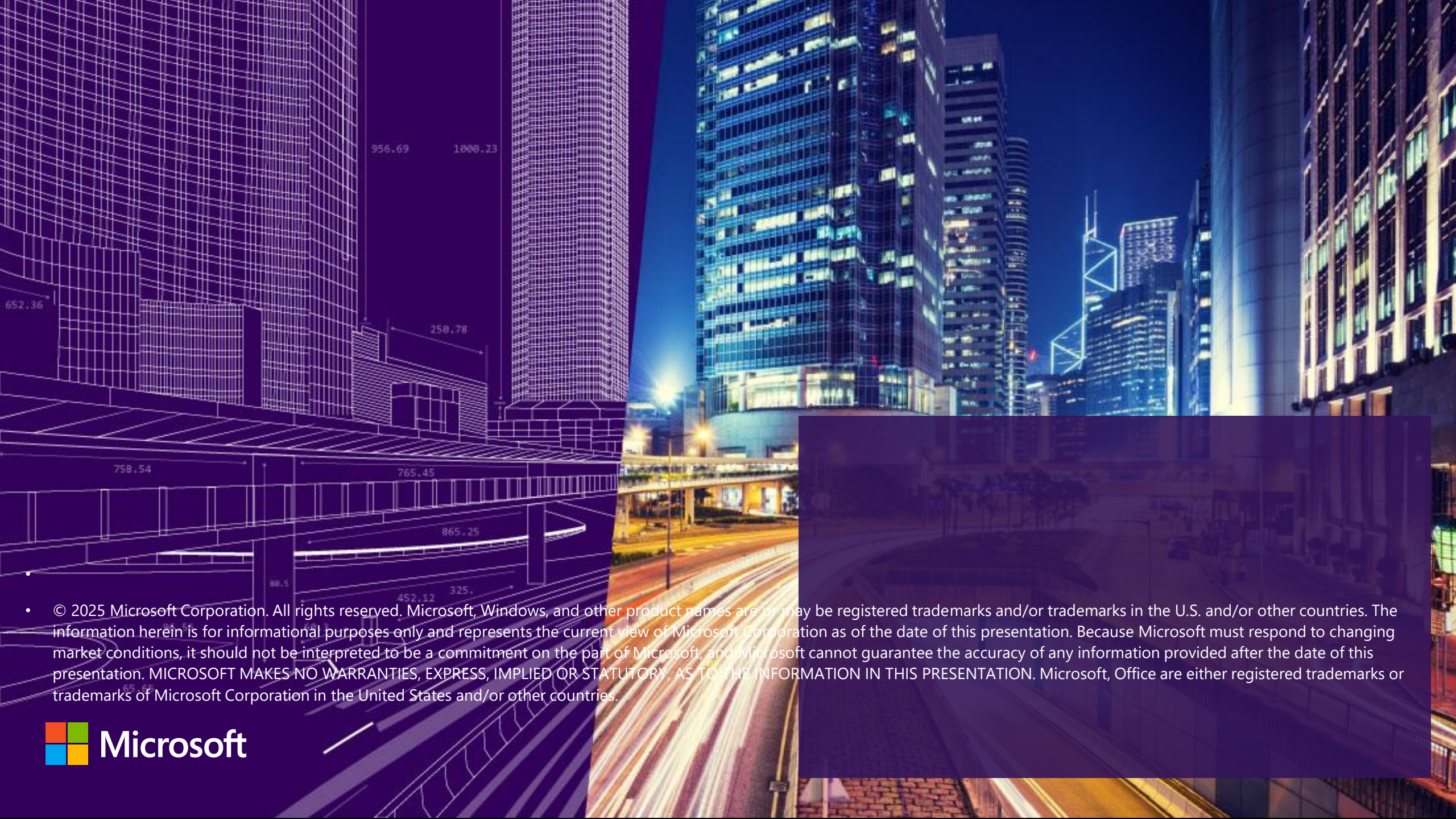

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